

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 14-16

BALTIC AUTO SHIPPING, INC.,

Complainant,

– vs. –

**MICHAEL HITRINOV
a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC.,**

Respondents.

COMPLAINANT’S STATUS REPORT

Complainant herein submits this Status Report to make the Commission aware of changes in status regarding the above captioned matter as it may be relevant to the Commission’s pending decision on Respondents’ Petition Regarding Attorney’s Fees, as well as complainant’s pending Motion to Stay the instant proceedings (Document 102). With specific regard to the Motion to Stay, the Commission advised by Order of August 17, 2017 that it will “...issue a separate Order addressing Complainant’s request for a stay of the proceeding” (Document 103) which as of the time of this writing has not yet been issued. As such, the following is submitted for the Commission’s consideration inasmuch as the following constitutes a change in status of this matter.

For purposes of brevity, the Commission is respectfully referred to the procedural history regarding respondents’ filing of their petition for attorney’s fees which has been set forth in detail in Complainant’s Status Report of October 12, 2017, which is incorporated herein. Said procedural

history explained that on Friday, October 13, 2017 at 3:45 p.m., the Honorable Magistrate Judge Mark Falk of the U.S. District Court for the District of New Jersey ordered the parties herein to appear for a telephonic conference on the issues described in Complainant's Status Report of October 12, 2017, to wit: respondents' unlawful attempt to seek attorney's fees in this matter despite having waived the right to do so, and respondents' refusal to execute a Settlement Agreement which resulted in settlement of that matter.¹

On October 13, 2017 the telephonic conference was held before Magistrate Judge Falk (See, Appendix "1") at which time the undersigned explained to the Court that complainant Baltic Auto Shipping Inc. ("Baltic") is requesting leave to file a motion in that matter, pursuant to Federal Rule of Civil Procedure ("FRCP") Rule 60 for relief from the Court's Order dismissing that case, and that upon such relief that the Court address the issue of the settlement of the Federal litigation and Hitrinov's waiver of the right to seek attorney's fees herein. The Court was also informed as to Baltic's desire to seek injunctive relief from the Court due to the fact that the Commission's decision on the Petition Regarding Attorney's is pending, whether such injunctive relief be an Order to the Commission staying any further action in these proceedings or an Order enjoining and restraining respondents from proceeding with any further action (including enforcement action) with respect to their application against Baltic for attorneys' fees herein.

Subsequent thereto, on October 17, 2017, the Court issued an Order (annexed hereto as Appendix "4") noting the telephone conference that took place on October 13, 2017 and Baltic's intent to file a motion pursuant to FRCP 60, and scheduled a second telephonic for October 18,

¹ While the Court's Order of October 6, 2017 (annexed Complainant's Status Report of October 12, 2017 as Appendix "1") originally set down the conference to be in-person on October 19, 2017, the in-person was rescheduled to a telephonic conference for October 13, 2017 (see, Text Order, also included in Appendix "1" to Complainant's Status Report of October 12, 2017) due to Mr. Werner's request to the Court for an adjournment, annexed hereto as Appendix "2". The basis for Mr. Werner's apparent unavailability on October 19, 2017 was that he had to babysit his children (see, Appendix "3") - - we agree that Mr. Werner should spend more time with his family and less time attempting to 'game' this Commission and commit fraud upon the Court.

2017, as well as an in-person conference with counsel and the parties hereto, which was to take place on October 20, 2017. Said Order specifically noted that the purpose of the telephonic conference was "...to discuss the filings of any motions in advance of the in-person conference on the 20th."

During the telephonic conference with Magistrate Judge Falk which took place October 18, 2017 (see, Appendix "5"), Mr. Werner explained to the Court that he and his client would be unavailable on October 20, 2017 for the in-person conference, at which time Judge Falk agreed to reschedule the in-person conference to Thursday, October 26, 2017 at 10:00 a.m.

During the October 18, 2017 telephonic conference, Judge Falk also explained his intent to conference with the parties prior to the filing of any motions in order to see if the issues currently before the Court (to wit: the issues raised in the undersigned's October 4, 2017 letter to the Court, annexed to Complainant's Status Report of October 12, 2017 as Appendix "2") could be resolved.

As it stands right now, the parties will appear before the Court on October 26, 2017, at which time there will be an 'on the record' discussion regarding respondent Hitrinov's failure to execute the formal written Settlement Agreement which resulted in: (1) the resolution of that matter; (2) withdrawal of Baltic's then pending Exceptions to the ALJ's Initial Decision on Respondents' Motion for Partial Summary Decision of September 15, 2015; and (3) respondents' unequivocal waiver of the right to seek attorney's fees in this matter.

The outcome of the October 26, 2017 in-person conference will result in either Hitrinov's admission that the settlement of the Federal litigation was per the terms of the formal written Settlement Agreement (which included waiver of the right to seek fees herein) and withdrawal of the Petition Regarding Attorney's Fees, or further motion practice before the Court, which will include Baltic's request for injunctive relief as explained above, as well as the interposing of a

motion for sanctions against Hitrinov and Mr. Werner² pursuant to 28 U.S.C. 1927 for vexatiously multiplying those proceedings based upon the reasons set forth at length in Baltic's opposition to respondents' attorney fee petition. It is hoped that at this time, respondents' continued attempts to 'game' the Commission and the Federal Court will result in a punishment of sufficient measure so that respondents and their counsel may *finally* be given to understand the severity and gravity of their misconduct and unethical practice, which can, and must have consequences.

A final point worth mentioning on the issue Mr. Werner's sanctionable conduct and sharp practice is with respect to his recent filing with the Commission (Document 119) which purports to be Respondents' Opposition to Complainant's Motion for Confidential Treatment, and which truly leads the undersigned to believe that Werner may be mentally unstable (and which would explain his irrational conduct before a Federal Judge and this Commission), wherein Werner purports to explain to the Commission that there is no basis for confidential treatment of Complainant's Status Report and Appendix because "...the portions of the status report and the appendix for which confidential treatment are sought discuss issues which Mr. Nussbaum has submitted to the Court in the District of New Jersey via an October 4, 2017 letter³, which even now is available publicly on the docket in that Court." - - With respect to this statement, it should be noted that the *only* reason the confidential October 4, 2017 letter is now publicly available on the court's docket is...***because Werner personally posted it on the docket!*** A printout of the last page of the Court's docket showing the filing made by Werner is annexed hereto as Appendix "6".

² Respondents' other attorney of record, Gerard Doyle Esq. who has been complicit in the actions of Werner and Hitrinov will also be the subject of the forthcoming sanctions motion.

³ Said letter was faxed to the Court and not placed on the docket pursuant to the Court's instructions, which also included that said letter be marked "Confidential" due to the sensitive issues discussed therein.

It bears noting that Werner has been previously admonished on the record by the Court for making misrepresentations of fact and law, and for employing the same gamesmanship and bad faith tactics that he has attempted to employ here. By way of example, in the matter of Great E. Shipping Co. v. Phoenix Shipping Corp., No. 07 CIV. 8373 (DLC), 2007 WL 4258238 (S.D.N.Y. Dec. 4, 2007) – Werner was admonished on the record for failing to cite adverse authority concerning the viability of contingent indemnity claims on Ex-Parte Orders for Maritime Attachment.

In that matter, the Court “expressed its displeasure with his failure to cite the adverse authority” and addressed Werner’s breach of his ethical duties by failing to comply with his obligations to disclose controlling legal authority to the Court pursuant to New York Disciplinary Rule 7-106. See, Great Eastern, supra, at 2. In that matter, the Court disregarded Werner’s assertion that he had a good faith basis for plaintiff’s claim as “unavailing because it does nothing to diminish counsel’s obligation to alert the court to the existence of adverse authority”. See, Great Eastern, supra, at 3. In the instant matter, it is submitted that the Commisison should similarly note the pattern of Werner’s unethical conduct, which began the moment his appearance was entered on the record, contemporaneously with the filing of the Petition regarding Attorney’s Fees.

Notably, a month prior to the Court’s decision in Great Eastern, supra, the Court admonished Werner’s firm on the record in the matter of Centauri Shipping Ltd. v. Western Bulk Carriers KS, 528 F.Supp.2d 197 (S.D.N.Y. 2007). In that matter, the Court directed Werner’s partner, Kirk M. Lyons to show cause as to why sanctions should not be imposed on him pursuant to Rule 11(b) of the Federal Rules of Civil Procedure. At issue was Mr. Lyons’ false assertions of fact made to the Court in an affirmation regarding whether or not two corporate entities were licensed as foreign corporations in New York State.

While the court ultimately decided that Mr. Lyons' conduct was negligent as opposed willful and deliberate, the Court nevertheless took the opportunity to "note its disapproval of Counsel's conduct in this action." Centauri Shipping at 201.

In that matter, the Court found that "Counsel has failed to sufficiently observe his duties "to exercise that degree of care, skill and diligence commonly possessed and exercised by a member of the legal community" *Id.* and that "immediately following Counsel's discovery that the Affirmation contained false statements, it is clear that Counsel failed to sufficiently observe his obligation to inform the Court in a timely manner of the material misstatements contained in the Affirmation." *Centauri Shipping* at 202.

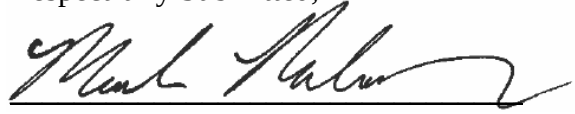
The foregoing is respectfully submitted so that the Commission may be fully informed as to the nature and character of respondents' counsel.

In closing, the undersigned reposes complete confidence in the ability of this Commission and a Federal Judge to bring this final chapter in the saga of Hitrinov's and Werner's unethical and unlawful conduct to a close, and it is hoped and prayed that this closure will also result in monetary sanctions sufficient to discourage any further attempts by Werner and Hitrinov to engage in such behavior.

Accordingly, it is respectfully submitted that any further rulings or Orders by the Court arising out of the conference on October 26, 2017 regarding the Settlement Agreement may impact the forthcoming decision on Respondents' Petition Regarding Attorney's Fees.

Dated: October 20, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainant
marcus.nussbaum@gmail.com

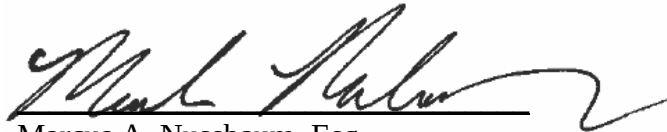
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT** and **APPENDIX** upon Respondents' Counsel at the following address:

Jon Werner, Esq.
Lyons & Flood, LLP
One Exchange Plaza
55 Broadway, Suite 1501
New York, NY 10006
Attorney for Respondents

Gerard S. Doyle, Jr.
The Law Office of Doyle & Doyle
Attorneys for Respondents
636 Morris Turnpike
Short Hills, NJ 07078

by first class mail, postage prepaid, and via email (gdoyle@doylelaw.net and jwerner@lyons-flood.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainant
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
October 20, 2017